Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$77.92 ▼ 4.22%	12M Price Target	52-Week Range	Market Cap
		$95.00	$63.52 – $139.75	$70.17B

HOOD: Supreme Court Overhang Meets Crypto Slump

WHAT HAPPENED

- Big one: the Supreme Court agreed to hear a lawsuit tied to Robinhood's 2021 IPO (remember the GameStop/meme stock chaos when they halted trading?). That's a legal cloud that could mean real money damages if they lose — and even if they win, it's months of headline risk. This is the main reason the stock dropped 4%+ today.
- Crypto volumes on HOOD cratered 48% while prediction market bets (sports, elections, events) jumped 136%. Translation: their biggest revenue driver is weakening, but a new, smaller one is on fire. Mix shift matters.

WHY IT MATTERS

Here's the real story: HOOD is in a transition. Crypto trading — which has been their cash cow in 2025-2026 — is cooling hard (-48% volume is brutal), and the market is worried the Q4 print is going to disappoint. But prediction markets (think Kalshi-style betting on elections, Fed decisions, sports) are exploding, and HOOD is positioned as the retail on-ramp. The DOJ and CFTC literally just sued Arkansas to PROTECT Kalshi's prediction markets from state-level bans — that's the federal government actively clearing the runway for this business line, which is a huge under-the-radar tailwind for HOOD. The Supreme Court case is scary-sounding but these IPO-era cases usually settle for manageable amounts; the bigger question is whether crypto volume stabilizes before earnings.

POLICY & POLITICAL WATCH

The policy backdrop is actually mixed-to-bullish for HOOD. The Trump administration's crypto-friendly stance (clear framework, lighter SEC posture) is a structural positive, but near-term crypto activity is just quiet. The massive story is prediction markets: DOJ + CFTC suing Arkansas to stop state-level crackdowns is a federal signal that these are legal CFTC-regulated products — if that stance holds, HOOD's prediction markets business could 5x in 2027. Watch for any House/Senate hearings on event contracts; a federal framework blessing prediction markets would be a massive catalyst.

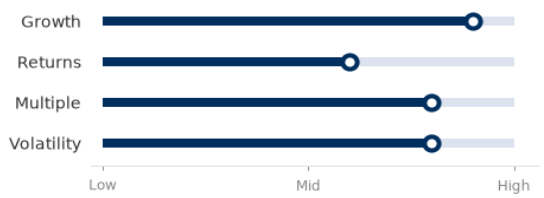
IS IT EXPENSIVE?

At ~$78, HOOD trades around 47x forward earnings — meaning you're paying $47 for every $1 of profit they're expected to make next year. That's expensive vs. traditional brokers like Schwab (~18x) but cheaper than Coinbase (~55x). Goldman just cut their target twice but still sees 41% upside, which tells you Wall Street thinks the selloff is overdone — the valuation is reasonable IF prediction markets scale and crypto volumes don't fall off a cliff.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$77.92**
12M Price Target	**$95.00**
Upside / (Downside)	**+21.9%**
Market Cap	**$70.17B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,100M**
FY2026E EPS	**$1.65**
FY2027E EPS	**$2.10**
Fwd P/E	**47.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | November 13, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$88.00**	$78.00	**$68.00**
6 Months	**$110.00**	$90.00	**$65.00**
1 Year	**$135.00**	$95.00	**$60.00**
2 Years	**$180.00**	$120.00	**$55.00**
5 Years	**$280.00**	$170.00	**$45.00**
10 Years	**$500.00**	$280.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.93% 5D) and Communication Services are leading — energy on supply tightness, comm services on earnings strength. Financials quietly up 2.3% on the week, which usually helps HOOD but not today.

COOLING OFF: Crypto-adjacent names are weak as Bitcoin consolidates and trading volumes dry up across the board — not just HOOD, Coinbase is also under pressure.

ROTATION WATCH: Money is rotating OUT of high-beta fintech/crypto and INTO defensive staples and energy — classic late-cycle risk-off behavior. That's a headwind for HOOD until sentiment flips.

RELATED PLAY: If prediction markets are the real story, watch Kalshi's path to IPO and names like DraftKings (DKNG) that could pivot into event contracts. Coinbase (COIN) is HOOD's crypto twin — if HOOD bounces, COIN usually does too.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Just launched a national trust for crypto custody — institutional moat getting wider while HOOD is still mostly retail.
- IBKR (Interactive Brokers): Boring but winning — margin lending and international growth, no meme-stock baggage, no Supreme Court overhang.

HOOD CONTEXT: HOOD is LAGGING its peer group today. The stock is at 19% of its 52-week range (basically near the lows), while brokerage peers are mid-range. That tells me the selling is HOOD-specific (legal + crypto mix issues), not sector-wide — which is actually a setup for a sharp bounce if the news flow improves.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story (prediction markets + crypto super-app) but the near-term is messy with legal and volume headwinds.

POSITION SIZE: 2-4% of portfolio — real upside but legal overhang caps how aggressive I'd get here.

ENTRY POINTS: I'd scale in — small nibble here at $78, add at $68-72 if the selloff continues, back up the truck under $65 (52-week low zone).

TIME HORIZON: 12-18 months. Catalysts I'm waiting for: Q4 earnings (do crypto volumes stabilize?), Supreme Court case developments, and any federal framework on prediction markets.

WHEN TO BAIL: If Supreme Court rules against them with major damages, if prediction markets get federally restricted, or if crypto volumes drop another 30% from here.

HEDGING: The options market is actually bullish (put/call 0.42, heavy call buying at $80 strike) — but given the legal risk, I'd buy cheap out-of-the-money puts as insurance, or pair this with a short position in a pricier fintech peer to neutralize sector risk.

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